

MODULE F2M8: RATIO ANALYSIS AND VARIANCE ANALYSIS

A Comprehensive, Continuous-Prose Study Chapter for the Uniform CPA Examination

CHAPTER TABLE OF CONTENTS

- I. Ratio Analysis Overview & Core Principles** — 1. *Analytical Comparison Methods (Vertical & Horizontal Analysis)*
- II. Master Sample Financial Statements (Gi Company)** — 2. *Balance Sheet & Income Statement Structures*
- III. Profitability Ratios** — 3. *Gross Margin, Profit Margin, Return on Sales, DuPont ROA & ROE*
- IV. Liquidity Ratios** — 4. *Working Capital & Cash Conversion Cycle*
- V. Solvency Ratios** — 5. *Debt-to-Equity, Total Debt & Times Interest Earned*
- VI. Performance Metrics** — 6. *EBITDA, EPS, P/E Ratio & Asset Turnover*
- VII. Variance Analysis (Actual vs. Budget)** — 7. *Static vs. Flexible Budgets & Performance Reconciliation*

I. Ratio Analysis Overview and Core Principles

Financial indicators are powerful tools used by CPAs, financial analysts, and other stakeholders to distill dense, multi-page financial statements into concise, actionable data points. These quantitative relationships, known as financial ratios, do not exist in a vacuum. Rather, their primary analytical value arises from their ability to establish comparability. In practice, a company's raw dollar figures are difficult to evaluate without context. By converting these raw numbers into standardized ratios, an analyst can directly compare an enterprise's performance with its own historical periods, with its primary competitors, or against broader industry averages. This analytical framework enables users to identify critical trends, assess operational efficiency, evaluate creditworthiness, and make informed capital allocation decisions.

A fundamental guideline when evaluating any financial ratio is the mathematical direction of change, which is governed by the basic rules of fractions. The CPA examination heavily tests an examinee's conceptual understanding of these directional relationships, particularly when an accounting transaction alters either the numerator or the denominator. Under the **Pass Key Principle (The Directional Relationship Rule)**, any change in the numerator of a ratio has a **direct relationship** with the resulting ratio. This means that if the numerator increases, the resulting ratio increases; conversely, if the numerator decreases, the resulting ratio decreases. On the other hand, any change in the denominator has an **inverse relationship** with the resulting ratio. Thus, if the denominator increases, the resulting ratio decreases, whereas if the denominator decreases, the resulting ratio increases. Mastering this fractional arithmetic is essential for rapidly solving multiple-choice questions where transactions are recorded and candidates must predict whether a ratio will improve or deteriorate.

The Pass Key: Ratio Directional Principles

Direct Numerator Relationship: Numerator increases (up) implies Resulting Ratio increases (up)

Inverse Denominator Relationship: Denominator increases (up) implies Resulting Ratio decreases (down)

Despite their immense utility, ratio analysis has inherent limitations that a CPA must consider. First, ratios are entirely dependent on the reliability and accuracy of the underlying financial statement data. If the primary bookkeeping contains material misstatements, represents aggressive revenue recognition policies, or relies on subjective management estimates, the resulting ratios will be fundamentally flawed and misleading. Second, ratios alone cannot tell the entire story of an enterprise; qualitative factors, such as market competition, regulatory changes, and management talent, must supplement quantitative metrics to achieve a comprehensive analysis.

To perform an effective analytical review, practitioners utilize two primary methods of comparison: horizontal and vertical analysis. **Horizontal analysis** involves comparing financial data across multiple consecutive periods. This method is highly effective for identifying historical trends, calculating period-over-period percentage growth, and spotting material shifts in operational accounts. Conversely, **vertical analysis** involves expressing every line item on a single financial statement as a percentage of a significant base account. On the Balance Sheet, the base is typically total assets, whereas on the Income Statement, the base is net sales. This approach allows for highly meaningful comparisons between entities of vastly different physical and financial sizes. While raw dollar figures of a multinational conglomerate and a small regional business are completely incomparable, their vertical percentages reveal immediate operational insights, such as their cost structures, gross margins, and financing choices.

II. Master Sample Financial Statements (Gi Company)

To ground our calculations and provide a consistent basis for analysis, we present the raw financial statements of **Gi Company**. These statements will be used to demonstrate the calculation, interpretation, and analysis of profitability, liquidity, and solvency ratios. Meticulously extracting these numbers is essential for achieving the absolute precision required by the CPA examination.

Gi Company Balance Sheets (as of December 31, Year 2 and Year 1)

Assets / Liabilities and Stockholders' Equity	12/31/Year 2	12/31/Year 1
Current Assets:		
Cash and cash equivalents	\$50,000	\$35,000
Trading securities (at fair value)	\$75,000	\$65,000
Accounts receivable (net)	\$300,000	\$390,000
Inventory (at lower of cost or market)	\$290,000	\$275,000
Total current assets	\$715,000	\$765,000
Investments available for sale (at fair value)	\$350,000	\$300,000
Fixed Assets:		
Property, plant, and equipment (at cost)	\$1,900,000	\$1,800,000
Less: Accumulated depreciation	(\$180,000)	(\$150,000)
Net Property, Plant, and Equipment	\$1,720,000	\$1,650,000
Goodwill	\$30,000	\$35,000
Total assets	\$2,815,000	\$2,750,000
Current Liabilities:		
Accounts payable	\$150,000	\$125,000
Notes payable	\$325,000	\$375,000
Accrued and other liabilities	\$220,000	\$200,000
Total current liabilities	\$695,000	\$700,000
Long-Term Debt:		
Bonds and notes payable	\$650,000	\$700,000
Total liabilities	\$1,345,000	\$1,400,000
Stockholders' Equity:		
Common stock (100,000 shares outstanding)	\$500,000	\$500,000
Additional paid-in capital	\$670,000	\$670,000
Retained earnings	\$300,000	\$180,000
Total equity	\$1,470,000	\$1,350,000
Total liabilities and equity	\$2,815,000	\$2,750,000

The Balance Sheet represents a snapshot of the enterprise's financial structure. In conceptual terms, it outlines both the **financial risk** (capital structure) of the entity and its **capacity to produce** (assets used to generate revenue). Short-term risk is addressed via **Liquidity** ratios (the ability to generate cash to pay short-term debts), whereas long-term risk is evaluated through **Solvency** ratios (the long-term viability of the financing mix). Furthermore, changes in total assets indicate whether a company is in a **growing** phase (expanding its operating asset base) or a **downsizing** phase (divesting assets to meet obligations or streamline operations).

Gi Company Income Statements (for Years Ended December 31, Year 2 and Year 1)

Income Statement Line Items	Year 2	Year 1
Sales	\$1,800,000	\$1,700,000
Cost of goods sold	(\$1,000,000)	(\$940,000)
Gross profit	\$800,000	\$760,000
Operating expenses	(\$486,970)	(\$476,970)
Interest expense	(\$10,000)	(\$10,300)
Net income before income taxes (EBT)	\$303,030	\$272,730
Income taxes (34 percent flat rate)	(\$103,030)	(\$92,730)
Net income after income taxes	\$200,000	\$180,000
Earnings per share	\$2.00	\$1.80

Gi Company: Additional Financial Metadata

Operating Cash Flows (CFO): \$275,000 (Year 2) | \$265,000 (Year 1)

Dividends per Share (DPS): \$0.80 (Year 2) | \$0.00 (Year 1)

Market Price per Share: \$12.00 (Year 2) | \$11.00 (Year 1)

The Income Statement measures historical operating **performance** over a period of time. It reveals how efficiently the company turns its productive asset base into sales (known as **asset turnover**) and how successfully those sales are converted into actual profit for owners (known as the **profitability margin**). To complete the loop, the **Statement of Cash Flows** connects the Balance Sheet and Income Statement, providing invaluable information about **value, risk, and performance** by demonstrating the enterprise's ability to generate cash from core business operations, investments, and financing actions.

III. Profitability Ratios (Success or Failure over Time)

Profitability ratios are mathematical measures designed to evaluate the operational success or failure of an enterprise for a given period of time. These ratios are critical for internal managers, who must optimize pricing and control costs, and for external investors, who use them to compare the earnings power of competing enterprises.

1. Gross Profit Margin

The Gross Profit Margin measure is highly dependent on the pricing power of the firm and the cost of its raw materials. It measures the percentage of each sales dollar that remains after covering the direct costs of production. Mathematically, it is calculated as:

Gross Profit Margin Formula

Gross Profit Margin = (Sales (net) - Cost of Goods Sold) / Sales (net)

Gi Company Year 2: Gross profit of \$800,000 divided by Net Sales of \$1,800,000 = **44.44%**

This margin is heavily driven by the bargaining power of the company's suppliers. Under standard competitive forces, as the number of available suppliers increases, supplier bargaining power decreases. This reduction in supplier power drives down the Cost of Goods Sold (COGS) and consequently drives Gross Profit (GP) up, resulting in an improved Gross Profit Margin.

2. Profit Margin

While Gross Profit Margin focuses strictly on direct manufacturing costs, the overall Profit Margin measures the percentage of each sales dollar that translates into net profit for the owners after all expenses, including operating costs, interest, and taxes, are covered:

Profit Margin Formula

Profit Margin = Net Income / Sales (net)

Gi Company Year 2: Net Income after taxes of \$200,000 divided by Net Sales of \$1,800,000 = **11.11%**

The Profit Margin serves as a vital performance metric and is heavily dependent on market competition. In highly competitive industries, aggressive price cutting and high marketing costs compress profit margins. As market competition increases, the Profit Margin decreases. On the CPA exam, a higher profit margin relative to an established standard indicates superior pricing and cost-containment performance.

3. Return on Sales (ROS)

Return on Sales measures the operational profitability of the enterprise before taking into account how those operations are financed (interest expense) or taxed. This allows analysts to evaluate core operating profitability. The calculation of Return on Sales is a high-risk multi-step process on the CPA exam, requiring candidates to derive Earnings Before Interest and Taxes (EBIT) first:

Return on Sales and EBIT Derivation

Step 1: Net Income + Taxes + Net Interest Expense = EBIT

Gi Company Year 2 EBIT: \$200,000 (Net Income) + \$103,030 (Income Taxes) + \$10,000 (Interest Expense) = **\$313,030**

Alternative Top-Down EBIT: Sales - COGS - SGA Expenses - Depreciation = EBIT

Step 2: Return on Sales = EBIT / Sales (net)

Gi Company Year 2: EBIT of \$313,030 divided by Sales of \$1,800,000 = **17.39%** (which must be evaluated as $\geq$ Standard)

Return on Sales is highly dependent on management's ability to control its operating expenses. These operating expenses are driven by different underlying economic factors: COGS is driven primarily by the number and bargaining power of suppliers; Selling, General, and Administrative (SGA) expenses are driven by competition and the intensity of rivalry; and Depreciation is driven by the overall age of the company's asset base and the specific depreciation methods and estimates employed by management.

4. Return on Assets (ROA)

Return on Assets measures how effectively management uses its productive assets to generate profit. It answers the fundamental question: For every dollar of assets invested, how many cents of net income does the firm produce? It is calculated as:

Return on Assets Formula

Return on Assets = Net Income / Average Total Assets

Gi Company Year 2 Average Total Assets: (\$2,815,000 (Ending) + \$2,750,000 (Beginning)) / 2 = \$2,782,500

Gi Company Year 2 ROA: Net Income of \$200,000 divided by Average Total Assets of \$2,782,500 = **7.2%** (which should be $\geq$ Standard)

Conceptually: Return on Assets represents a firm's efficiency in turning its assets into sales, while profit margin turns those sales into net profit for owners.

5. DuPont Return on Assets Decomposition (High-Risk Technical Area)

DuPont Analysis is a high-risk topic on the CPA exam because it decomposes the standard ROA formula into two distinct strategic drivers: **Profit Margin** (operating profitability) and **Asset Turnover** (management efficiency in utilizing assets to generate sales). The mathematical beauty is that Sales cancel out in the multiplication, linking operating strategy directly to asset efficiency:

DuPont ROA Decomposition Formula

DuPont Return on Assets = Profit Margin x Asset Turnover

DuPont ROA = (Net Income / Sales (net)) x (Sales (net) / Average Total Assets)

Gi Company Year 2: 11.11% (Profit Margin) x 0.65 (Asset Turnover) = **7.2%**

Strategic Visual Translation: Decomposing ROA reveals how different companies achieve profitability. For example, a *Dollar Store* operates on a high-turnover, low-margin business model. It sells goods rapidly (turnover up) but maintains very low prices (profit margin down). Conversely, a *Yacht Manufacturer* operates on a low-turnover, high-margin model. It sells very few products (turnover down) but commands premium prices (profit margin up). Both paths can yield an identical 7.2% ROA, but they represent entirely different operational strategies.

6. Return on Equity (ROE)

Return on Equity measures the rate of return earned on the common stockholders' investment. It is the ultimate measure of performance from the owners' perspective and is calculated as:

Return on Equity Formula

Return on Equity = Net Income / Average Total Equity

Gi Company Year 2 Average Equity: $(\$1,470,000 \text{ (Ending)} + \$1,350,000 \text{ (Beginning)}) / 2 = \$1,410,000$

Gi Company Year 2 ROE: Net Income of \$200,000 divided by Average Total Equity of \$1,410,000 = **14.18%** (which should be $\geq$ Required Rate)

High-Risk Leverage Amplification Rule: Returns to common stockholders are amplified by the introduction of debt into the capital structure, known as the **Degree of Financial Leverage (DFL)**. The mathematical relationship is expressed as: **ROE = ROA x DFL**. In a DuPont model, DFL is represented by the **Equity Multiplier** (Total Assets / Total Equity). When a company uses debt to fund assets, its equity base is smaller, which amplifies ROE. However, this is a double-edged sword: if the company performs well, gains are multiplied; if the company performs poorly, losses are amplified as well. This concept is explored further in Section V.

7. Operating Cash Flow Ratio (OCF Coverage)

To verify that profitability is supported by actual cash generation, analysts calculate the Operating Cash Flow Ratio. This serves as a coverage ratio that measures cash generated strictly from core business activities relative to the firm's immediate short-term obligations:

Operating Cash Flow Ratio Formula

Operating Cash Flow Ratio = Cash Flow from Operations / Current Liabilities

Gi Company Year 2: Operating Cash Flow of \$275,000 divided by Current Liabilities of \$695,000 = **0.396** (which should be $\geq$ Standard)

By focusing on core operating cash flows, this ratio is insulated from non-cash accounting adjustments, making it a reliable indicator of liquidity. As this ratio increases, the enterprise's short-term risk of financial distress decreases.

IV. Liquidity Ratios (Short-Term Solvency & Working Capital)

Liquidity ratios measure an enterprise's short-term ability to meet its maturing obligations as they fall due. Working capital management represents a continuous trade-off between liquidity and profitability.

1. Current Ratio

The Current Ratio is the most common metric of short-term liquidity. It compares total current assets (assets expected to be converted into cash within one year) with total current liabilities (obligations due within one year):

Current Ratio Formula

Current Ratio = Current Assets / Current Liabilities

Current Assets include: Cash + Marketable Securities (Trading) + Accounts Receivable + Inventory + Prepaids

*Gi Company Year 2: \$715,000 / \$695,000 = **1.03***

*Gi Company Year 1: \$765,000 / \$700,000 = **1.09** (Industry Average = 1.50)*

Analysis & The Liquidity-Profitability Paradox: Gi Company's current ratio declined from 1.09 in Year 1 to 1.03 in Year 2, which is significantly below the industry average of 1.50, indicating a deteriorating short-term risk profile. Conceptually, as the current ratio increases, the risk of short-term distress decreases. However, there is a paradox: current assets are generally less productive and earn lower returns than fixed assets. If a firm shifts too many resources from productive fixed assets to highly liquid current assets, short-term risk decreases, but the overall Return on Assets (ROA) decreases, eroding shareholder value.

2. Quick Ratio (Acid-Test Ratio)

The Quick Ratio provides a more stringent test of liquidity by excluding inventory and prepaids from the numerator, focusing strictly on assets that can be converted into cash within 90 days or less:

Quick Ratio Formula

Quick Ratio = (Cash and Cash Equivalents + Short-term Marketable Securities + Receivable (net)) / Current Liabilities

*Gi Company Year 2: (\$50,000 + \$75,000 + \$300,000) / \$695,000 = **0.61***

*Gi Company Year 1: (\$35,000 + \$65,000 + \$390,000) / \$700,000 = **0.70** (Industry Average = 0.80)*

Analysis: Gi Company's quick ratio of 0.61 is below the industry standard of 0.80 and has declined from 0.70 in Year 1. A quick ratio below the critical threshold of 0.70 is a clear sign of deterioration, indicating that the company has an elevated risk of being unable to meet its immediate obligations if sales slow down and inventory cannot be liquidated quickly.

3. Cash Ratio

The Cash Ratio represents the most liquid and conservative measure of immediate short-term risk. It completely excludes accounts receivable in addition to inventory and prepaids, mapping only cash and marketable securities against current liabilities:

Cash Ratio Formula

Cash Ratio = (Cash and Cash Equivalents + Short-term Marketable Securities) / Current Liabilities

Gi Company Year 2: $(\$50,000 + \$75,000) / \$695,000 = 0.18$

4. Accounts Receivable Turnover

Accounts Receivable Turnover is a mixed ratio (combining an Income Statement item with a Balance Sheet item) that measures how many times per year the company collects its average accounts receivable balance:

Accounts Receivable Turnover Formula

Accounts Receivable Turnover = Sales (net) / Average Accounts Receivable (net)

Gi Company Year 2 Average A/R: $(\$300,000 + \$390,000) / 2 = \$345,000$

Gi Company Year 2: $\$1,800,000 / \$345,000 = 5.22 \text{ times}$ (which is $\geq$ Standard, indicating no collection issues)

5. Days Sales in Accounts Receivable (Average Collection Period)

This ratio converts the turnover figure into days, representing the average number of days required to collect credit sales:

Days Sales in Accounts Receivable Formula

Days Sales in Accounts Receivable = Ending Accounts Receivable (net) / (Sales (net) / 365)

Gi Company Year 2: $\$300,000 / (\$1,800,000 / 365) = \$300,000 / \$4,931.51 = 60.83 \text{ days}$ (which is $\leq$ Standard)

Because the collection period is within the standard, Gi Company's receivables are considered liquid, meaning the company can successfully convert credit sales into cash quickly, reducing the overall risk of distress.

6. Inventory Turnover

Inventory Turnover measures how many times per year the company sells its average inventory balance, reflecting sales efficiency and demand:

Inventory Turnover Formula

Inventory Turnover = Cost of Goods Sold / Average Inventory

Gi Company Year 2 Average Inventory: $(\$290,000 + \$275,000) / 2 = \$282,500$

Gi Company Year 2: $\$1,000,000 / \$282,500 = 3.54 \text{ times}$ (which is $\geq$ Standard)

A turnover of 3.54 times indicates that inventory is moving efficiently, meaning the company does not have excess obsolete inventory or unnecessary cash tied up in surplus stock.

7. Days in Inventory

Days in Inventory measures the average number of days inventory sits on the shelves before being sold:

Days in Inventory Formula

Days in Inventory = Ending Inventory / (Cost of Goods Sold / 365)

Gi Company Year 2: $\$290,000 / (\$1,000,000 / 365) = \$290,000 / \$2,739.73 = 105.85 \text{ days}$ (which is $\leq$ Standard)

Edge-Case Analysis & Trade-offs: If Days in Inventory is too high, it signals a major operational problem: either the firm is carrying a surplus of obsolete stock, or overall market demand has decreased. However, if this ratio is too low, it is not necessarily positive. A very low days-in-inventory can signal critical inventory shortages, leading to stockouts and lost sales, or indicating that management has set its sales prices too low, artificially accelerating volume at the expense of profitability.

8. Accounts Payable Turnover

Accounts Payable Turnover measures how quickly the company pays its trade suppliers:

Accounts Payable Turnover Formula

Accounts Payable Turnover = Cost of Goods Sold / Average Accounts Payable

Gi Company Year 2 Average A/P: $(\$150,000 + \$125,000) / 2 = \$137,500$

Gi Company Year 2: $\$1,000,000 / \$137,500 = 7.27 \text{ times}$ (approx. equal to Standard)

Credit Terms & Cash Management: Standard trade terms, such as **2/10 or n/30**, require a company to pay within 10 days to take advantage of a 2% discount, or pay the net amount in full by day 30. An accounts payable turnover that is too low implies the firm is paying too quickly (poor cash management, as it is giving up the free time-value of cash), or that it is taking advantage of quick payment discounts on a regular basis.

9. Days of Payables Outstanding (Average Payment Period)

Days of Payables Outstanding measures the average number of days the company takes to pay its suppliers:

Days of Payables Outstanding Formula

Days of Payables Outstanding = Ending Accounts Payable / (Cost of Goods Sold / 365)

Gi Company Year 2: $\$150,000 / (\$1,000,000 / 365) = \$150,000 / \$2,739.73 = 54.75 \text{ days}$ (approx. equal to Standard)

Edge-Case Analysis: Stretching out payments is acceptable up to a point, as it allows the firm to preserve cash for other operations. However, if this ratio is too high, it represents a major red flag for suppliers and creditors, indicating severe cash flow problems and an inability to meet obligations on time.

10. Cash Conversion Cycle (High-Risk Technical Area)

The Cash Conversion Cycle measures the net time (in days) that cash is tied up in core business operations, starting from the day cash is paid for raw materials to the day cash is collected from customers:

Cash Conversion Cycle Formula

Operating Cycle = Days Sales in Accounts Receivable + Days in Inventory

Gi Company Operating Cycle: 60.83 days + 105.85 days = **166.68 days**

Cash Conversion Cycle = Days Sales in AR + Days in Inventory - Days of Payables Outstanding

Gi Company Year 2: 60.83 days + 105.85 days - 54.75 days = **111.93 days** (which is $\leq$ Standard)

Visual Translation & Credit Policy: Setting an optimal credit policy is critical for minimizing this cycle. A credit policy that is *too strict* leads to selling slowly but collecting quickly (Sell slow, Collect fast), which can hurt revenue. Conversely, a credit policy that is *too lax* leads to selling quickly but collecting slowly (Sell fast, Collect slow), which increases bad debt risk and ties up vital cash. Management must strike the perfect balance to keep the cycle as short as possible.

V. Solvency Ratios (Long-Term Risk & Leverage)

Solvency ratios evaluate a company's capacity to meet its long-term financial commitments, providing a measure of security or protection for long-term creditors and investors.

1. Debt-to-Equity Ratio

The Debt-to-Equity ratio measures the relative proportions of capital provided by creditors (debt) versus owners (equity):

Debt-to-Equity Ratio Formula

Debt-to-Equity Ratio = Total Liabilities / Total Equity

Gi Company Year 2: $\$1,345,000 / \$1,470,000 = 0.91$

Gi Company Year 1: $\$1,400,000 / \$1,350,000 = 1.04$ (Improving as Yr 2 < Yr 1)

CPA Exam Edge-Case Conceptual Map: Management must balance the risk and reward of its capital structure. As Debt increases and Equity decreases, overall financial risk increases. However, because debt is often cheaper than equity and interest is tax-deductible, this shift can drive Net Income / Equity up, resulting in a higher ROE. Conversely, as Debt decreases and Equity increases, the company's financial risk decreases, but the dilution of equity causes ROE to drop. Financial risk management determines the optimal leverage level.

2. Total Debt Ratio

The Total Debt Ratio measures the percentage of the firm's total assets financed through debt:

Total Debt Ratio Formula

Total Debt Ratio = Total Liabilities / Total Assets

Gi Company Year 2: $\$1,345,000 / \$2,815,000 = 47.78\%$

Gi Company Year 1: $\$1,400,000 / \$2,750,000 = 50.91\%$ (Improving as Yr 2 < Yr 1)

A declining total debt ratio represents improving long-term solvency risk. If this ratio increases over time, the company is becoming more leveraged, indicating a deteriorating risk profile.

3. Equity Multiplier (High-Risk Technical Demonstration)

The Equity Multiplier measures the factor by which assets exceed equity, representing the degree of leverage used:

Equity Multiplier Formula

Equity Multiplier = Total Assets / Total Equity

Relationship: Equity Multiplier = 1 + Debt-to-Equity Ratio

Gi Company Year 2: $\$2,815,000 / \$1,470,000 = 1.91$ (Verification: $1 + 0.91 = 1.91$)

Gi Company Year 1: $\$2,750,000 / \$1,350,000 = 2.01$ (Down from 2.01, showing reduced risk)

Leverage Amplification Example: Suppose a company purchases an asset on Day 1 for \$50 and sells it on Day 2 for \$100. Without leverage, the Unleveraged Return on Assets is: $(\$100 - \$50) / \$50 = 100\%$.

Now, suppose the transaction is funded with 50% Debt (Cost = \$50, Equity = \$25, Debt = \$25, with \$0 interest expense). The Leveraged ROE is: $(\$100 - \$50 - \$0) / \$25 = 200\%$. This can also be calculated via DuPont: **ROE = ROA x Equity Multiplier = 100% x 2 = 200%**. However, if ROA is negative (-25%), the leverage multiplier doubles

the losses: $\text{ROE} = -25\% \times 2 = -50\%$. This clearly demonstrates how leverage amplifies both gains and losses.

4. Times Interest Earned (TIE) / Interest Coverage

Times Interest Earned measures the company's ability to cover its annual interest payments using its operating profits (EBIT):

Times Interest Earned Formula

Times Interest Earned = EBIT / Interest Expense

Gi Company Year 2: EBIT of \$313,030 divided by Interest Expense of \$10,000 = **31.30 times**

As this coverage ratio increases, the risk of default decreases. However, maintaining a very high TIE may indicate that the firm is under-utilizing debt, meaning the positive amplification of ROE is diminished.

VI. Performance Metrics (Investor & Valuation Ratios)

Performance metrics are used to evaluate operating performance and market valuation from the perspective of current and potential common stockholders.

1. EBITDA (Operating Performance)

EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortization) is highly useful for comparing operational performance across different entities. By excluding interest, taxes, and non-cash depreciation and amortization (which are heavily dependent on asset age, depreciation methods, and management estimates), EBITDA isolates core operating profitability:

EBITDA Calculation Approaches

Top-down: Sales - Cost of Goods Sold - Operating Expenses (excluding depreciation/amortization)

Bottom-up: Net Income + Income Tax Expense + Interest Expense + Depreciation/Amortization

2. Earnings per Share (EPS)

Earnings per Share represents the portion of profit allocated to each outstanding share of common stock:

Earnings per Share Formula

Earnings per Share = Income available to common shareholders / Weighted average common shares outstanding

Gi Company Year 2: Net Income of \$200,000 divided by 100,000 shares = **\$2.00 per share** (Year 1 EPS is \$1.80)

As EPS increases, the stock price generally increases, reflecting growing profitability and demand for the stock.

3. Price-to-Earnings (P/E) Ratio

The P/E Ratio measures the price investors are willing to pay per dollar of current earnings, reflecting future growth expectations:

Price-to-Earnings Ratio Formula

Price-to-Earnings Ratio = Price per share / Basic earnings per share

Gi Company Year 2: Market Price of \$12.00 divided by EPS of \$2.00 = **6**

CPA Exam Decision Rules: If a company's P/E ratio is *less than* its industry average, the stock is relatively undervalued, indicating a **Buy** signal. If the P/E ratio is *greater than* the industry average, the stock is relatively overvalued, indicating a **Sell** signal. A higher P/E reflects higher growth expectations, but also introduces higher risk.

4. Dividend Payout Ratio

The Dividend Payout Ratio measures the percentage of earnings distributed to common stockholders as dividends:

Dividend Payout Ratio Formula

Dividend Payout = Cash Dividends / Net Income = Dividends per Share / Earnings per Share

Gi Company Year 2: (\$0.80 DPS x 100,000 shares) / \$200,000 = \$80,000 / \$200,000 = **40%**

A high dividend payout indicates fewer internal growth opportunities, as the firm chooses to distribute rather than reinvest its earnings. Conversely, a low payout ratio indicates significant growth opportunities, as the firm retains cash to fund expansion.

5. Retention Rate

The Retention Rate measures the percentage of earnings retained within the enterprise to fund future growth:

Retention Rate Formula

Retention Rate = 1 - Dividend Payout Rate

Gi Company Year 2: 1 - 40% = 60%

6. Asset Turnover

Asset Turnover measures the efficiency with which a firm utilizes its entire asset base to generate revenue:

Asset Turnover Formula

Asset Turnover = Sales (net) / Average Total Assets

Gi Company Year 2: \$1,800,000 / \$2,782,500 = 0.65 times (which is >= Standard)

Management must establish the optimal asset base. If the asset base is *too small*, the firm will experience lost sales due to inventory stockouts or capacity constraints. If the asset base is *too large*, the firm will have excess idle capacity, causing overall Asset Turnover and ROA to decline.

VII. Variance Analysis (Actual vs. Budget) & Flexible Budgeting

Variance analysis is a vital tool used by CPAs for planning, control, and performance evaluation. It compares actual operating performance against a plan, budget, or standard, allowing management to isolate operational inefficiencies and price/cost changes.

A. Cost Behaviors & Budgeting Principles

To perform accurate variance analysis, we must first understand how costs behave as activity levels change:

Variable Costs (VC): In total, variable costs change in direct proportion to changes in production or sales volume. However, the variable cost per unit remains constant. Total Variable Cost is calculated as: **VC per unit x volume**.

Fixed Costs (FC): In total, fixed costs remain constant regardless of the production or sales volume. However, the fixed cost per unit has an inverse relationship with volume: as volume increases, the fixed cost per unit decreases, as the same total cost is spread over more units.

Operating Leverage & Risk: The cost structure of an enterprise determines its **Degree of Operating Leverage (DOL)** and operating risk. If variable costs are high relative to fixed costs, the DOL is low, and operating risk is low (as costs decrease automatically if sales drop). If fixed costs are high relative to variable costs, the DOL is high, and operating risk is high (as fixed costs must be paid regardless of sales levels, creating massive risk if volume declines).

Contribution Margin (CM): Contribution Margin represents the portion of sales revenue available to cover fixed costs and generate a profit: **Contribution Margin = Revenues (Sales) - Variable Costs**.

B. Static Master Budget Performance Report (The Misleading Method)

To demonstrate why static budgeting is dangerous and misleading, we present the performance of **Neostar Corporation** for Year 1. Neostar anticipated selling 10,000 units at a planned sales price of \$15.00 per unit, with a budgeted variable cost percentage of 80% (implying a 20% Contribution Margin percentage, or \$3.00 per unit) and total fixed costs of \$25,000. Actual results, however, were lower: only 8,000 units were sold (generating \$112,000 in revenue), variable expenses materialized at \$100,800, and fixed costs were \$24,000.

Neostar Corporation Static Performance Report (Year 1)

Line Item	Static Budget @ 10k Units	Actual Results @ 8k Units	Variance	Classification
Units Sold	10,000	8,000	(2,000)	Unfavorable
Revenue	\$150,000	\$112,000	(\$38,000)	Unfavorable
Variable expenses	(\$120,000)	(\$100,800)	\$19,200	Favorable
Contribution margin	\$30,000	\$11,200	(\$18,800)	Unfavorable
Fixed costs	(\$25,000)	(\$24,000)	\$1,000	Favorable
Operating income	\$5,000	(\$12,800)	(\$17,800)	Unfavorable

The Static Analysis Paradox (Visual Translation): Comparing actual results against a static budget is highly misleading. In the table above, the variable expenses show a **\$19,200 Favorable** variance. However, this variance is favorable solely because Neostar sold 2,000 fewer units than planned, which naturally reduced total variable costs. This masks the operational reality that Neostar's variable cost per unit actually increased.

Comparing unit metrics reveals unfavorable performance across every category:

- **Sales Volume:** Actual sales fell short of the budget (8,000 < 10,000), which is unfavorable.
- **Selling Price (SP):** Actual price was discounted below budget (\$14.00 < \$15.00), which is unfavorable.
- **Variable Cost (VC) per unit:** Actual unit variable costs exceeded budget (\$12.60 > \$12.00), which is unfavorable.
- **CM per unit:** Actual unit contribution margin was cut by more than half (\$1.40 < \$3.00), which is unfavorable.
- **CM %:** Actual contribution margin percentage dropped from 20% to 10% (\$1.40 / \$14.00). This means that **only 10% of sales revenue** was available to cover fixed costs and generate a profit, which is unfavorable.

C. Flexible Budget Performance Report (The Meticulous Solution)

To isolate the effects of sales volume from price and cost variances, management utilizes flexible budgeting. A flexible budget recalculates budgeted revenues and variable expenses based on the *actual* volume achieved (8,000 units), using the original planned sales price and variable cost per unit. This allows for a fair comparison of operating efficiency at the actual activity level.

Neostar Corporation Flexible Budget Performance Report (Year 1)

Line Item	Actual Results (8k Units)	Flex Budget Variances	Flex Budget (8k Units)	Sales Activity Variances	Master Budget (10k Units)
Units	8,000	-	8,000	(2,000)	10,000
Sales	\$112,000	(\$8,000) [U]	\$120,000	(\$30,000) [U]	\$150,000
Variable costs	(\$100,800)	(\$4,800) [U]	(\$96,000)	\$24,000 [F]	(\$120,000)
Contribution margin	\$11,200	(\$12,800) [U]	\$24,000	(\$6,000) [U]	\$30,000
Fixed costs	(\$24,000)	\$1,000 [F]	(\$25,000)	-	(\$25,000)
Operating income	(\$12,800)	(\$11,800) [U]	(\$1,000)	(\$6,000) [U]	\$5,000

Master Variance Reconciliation

Flexible Budget Variance (Total): \$11,800 Unfavorable (Column 2 Total)

Sales Activity (Volume) Variance (Total): \$6,000 Unfavorable (Column 4 Total)

Total Master Budget Variance: \$17,800 Unfavorable (\$11,800 [U] + \$6,000 [U])

Detailed Component Explanations (Visual Translation):

- **Unfavorable Sales Price Variance (\$8,000):** Actual sales revenue was \$112,000 instead of the flexible budgeted \$120,000. This is because the actual selling price was discounted to \$14.00 per unit instead of the budgeted \$15.00, indicating a loss of pricing power.
- **Unfavorable Variable Cost Variance (\$4,800):** Actual variable costs were \$100,800 instead of the flexible budgeted \$96,000. This occurred because the actual variable cost per unit rose to \$12.60 compared to the budgeted \$12.00, indicating direct material or labor inefficiencies.
- **Favorable Fixed Cost Variance (\$1,000):** Actual fixed costs were \$24,000, which was below the budgeted \$25,000, providing a small offset to the other unfavorable results.
- **The Contribution Margin Squeeze:** The combination of discounting the selling price and experiencing higher unit variable costs squeezed the contribution margin per unit down to \$1.40 (compared to the budgeted \$3.00), leaving significantly less money available to cover fixed costs and generate a profit.
- **Summary of Operational Insight:** While we do not know the root operational cause of Neostar's problems, the flexible budget has pinpointed exactly where management must look: pricing power is weak (producing an \$8,000 unfavorable sales price variance), and variable expenses are out of control (producing a \$4,800 unfavorable variable cost variance). This is far more actionable than the misleading static report.